

Does UK aerospace support survive a change of Prime Minister?

A look at the last three governments- By Charles Clarke

Summary

Aerospace projects take a decade or more to pay off, so the money behind them has to outlast any one Prime Minister. I looked at the funding commitments made to the Aerospace Technology Institute (ATI) programme by the last three governments: Rishi Sunak's, Keir Starmer's and new kid on the block Andy Burnham's. Support has survived each handover, across two parties. I expect that to continue, and I put 90% on the headline commitment holding through the next fiscal events. Delivery is the part I am less sure about, mainly because public finances are tight.

Why this question matters

A new wing design, a hydrogen engine or a better fuel system can take a decade to develop before it earns anything. Companies deciding where to do that work look for signs that a government will still be funding it after the next election. The ATI programme, which co-funds civil aerospace research with industry, is the main place those signs show up. It was set up in 2013, so none of the recent governments invented it. The question is whether they kept it, and whether it will maintain, considering the shaky path of so many leadership changes in such short time.

What the record shows

Government	When	What was committed
Sunak (Conservative)	Nov 2023	£975m for aerospace over five years from 2025, through the ATI programme, as part of a £4.5bn manufacturing package
Starmer (Labour)	Jun 2025	Up to £2.3bn for the ATI over ten years, to 2035, in the Industrial Strategy
Burnham (Labour)	Jul 2026	£600m package at Farnborough: over £500m for aerospace research and technology, plus a new £100m Aerospace Supply Chain Fund

Sunak's government pledged £975m for aerospace in 2023. Labour won in 2024 and could have started again. Instead, its June 2025 Industrial Strategy extended the ATI to a ten-year commitment of up to £2.3bn to 2035. Then Andy Burnham became Prime Minister in July 2026, and on the third day of his government his Business Secretary, Jonathan Reynolds, was at Farnborough announcing a £600m aerospace package. A new leader chose to make aerospace one of his first announcements.

Why support keeps surviving

track record. An early evaluation for the then business department found that ATI funding led to projects that would not have happened without it, or would have happened later, on a smaller scale or overseas.

Industry puts in matching money. The ATI says the government's £2.3bn will have delivered around £8bn of research and technology investment since 2014 once industry funding is counted. A programme that attracts private money is easy to defend when budgets are tight.

It fits every government's story. Sunak's Advanced Manufacturing Plan, Starmer's Industrial Strategy and Reynolds's line about backing "good growth in every corner of the UK" can all point to aerospace. When a programme suits three different public narratives, nobody has a strong reason to cancel it.

Caution for me is delivery

Support is a promise. Delivery is whether the money turns into projects, suppliers and jobs. Three things make me more careful.

The ceiling is not the cash. The commitment is for "up to" £2.3bn over ten years. Annual allocations still have to be agreed, and the ATI itself says the sector needs more investment than is currently in place. Can Burnham retain these high demands?

Public finances are tight. Burnham has told ministers to take a hard look at their budgets, and his government has made a string of spending commitments, including a £2 bus fare cap, social care reform and a temporary removal of VAT from electricity bills. A leading think tank has reportedly identified a £24bn shortfall. The Chancellor, John Healey, delivers his first Budget on 28 October and says it will meet the fiscal rules.

The payoff is a long way off. The next generation of single-aisle aircraft is expected from the mid-2030s, so today's research money has to survive several more elections before it pays back.

Charles' Headline forecast

Forecast statement

The ATI's ten-year commitment of up to £2.3bn to 2035 will not be cut or withdrawn at the 28 October 2026 Budget, or at any other fiscal event before 31 December 2027.

Probability: 90%

Why not higher? The finances are tight, and "up to" leaves room to trim annual allocations without formally changing the headline figure.

Why not lower? Three governments across two parties have each renewed or extended the programme, and the current one has just publicly backed it.